

Document 29. Essay Plan Bank — 30 High-Frequency Essays

Skeleton plans only (not full essays). Each entry has: question → (a) plan → (b) plan → evaluation stance. Pair with the Phrasebank (Doc 25) and the Evaluation Toolkit (Doc 24).

Section A. Microeconomics Plans (1–15)

1. Explain how the price mechanism allocates resources (10). Evaluate whether the price mechanism alone produces an efficient and equitable outcome (15).

(a) *Plan*: signal, incentive, ration functions; DD-SS shift example. (b) *Plan*: efficiency yes; equity no → market failures (externalities, public goods, info, inequality). *Stance*: mechanism necessary but not sufficient; needs government intervention.

2. Explain how a tax on sugary drinks affects consumer welfare (10). Discuss whether such a tax is the most appropriate policy (15).

(a): indirect tax shifts SS up; DWL; PED inelastic. (b): alternatives — subsidies for substitutes, education, labelling, ban. *Stance*: tax effective for revenue but slow on consumption; pair with Nutri-Grade labelling.

3. Explain the difference between positive and negative externalities (10). Evaluate the use of taxes and subsidies to correct externalities in Singapore (15).

(a): MEC vs MEB; diagrams. (b): carbon tax, MediShield subsidies. *Stance*: both effective when sized correctly; regulation and direct provision complement.

4. Explain why public goods are not provided by the free market (10). Discuss the role of the government in providing such goods in Singapore (15).

(a): non-rival, non-excludable, free-rider. (b): SAF, public lighting, weather. *Stance*: direct provision necessary; some quasi-public goods (roads) use ERP for excludability.

5. Compare the features and price-output decisions of a monopolist with those of a perfectly competitive firm (10). Evaluate which market structure delivers greater welfare (15).

(a): comparative table; profit-max where $MR=MC$. (b): PC: allocative + productive; monopoly: dynamic efficiency. *Stance*: contestable monopoly may dominate when scale economies large.

6. Explain why oligopolies exhibit price rigidity (10). Discuss the role of non-price competition in oligopoly (15).

(a): kinked DD; MR discontinuity. (b): advertising, branding, R&D, loyalty. *Stance*: non-price competition the norm; SG telcos pre-TPG.

7. Explain how elasticity informs firm pricing decisions (10). Discuss whether profit-maximisation should remain firms' primary objective (15).

(a): elastic → cut price; inelastic → raise. (b): sales-max, growth-max, satisficing, ESG. *Stance*: short-run profit-max but long-run sustainability-oriented.

8. Explain how government intervention can correct merit-good market failure (10). Evaluate Singapore's approach to merit goods (15).

(a): subsidy + direct provision + mandate + info. (b): MOE schools, MediSave, SkillsFuture. *Stance*: multi-instrument approach effective; further to do on adult re-skilling take-up.

9. Explain how a price ceiling and a price floor affect a market (10). Discuss whether the Singapore government should impose either in the housing market (15).

(a): shortage / surplus; non-price rationing. (b): HDB BTO supply expansion + ABSD + cooling measures. *Stance:* non-price interventions dominate.

10. Explain the concept of information failure (10). Discuss policies to address information failure in Singapore's financial markets (15).

(a): adverse selection, moral hazard. (b): MAS regulation, mandatory disclosure, CPF defaults. *Stance:* disclosure + defaults; behavioural complements.

11. Explain how PED, YED, XED affect firms' decisions (10). Discuss the limitations of elasticity concepts in practice (15).

(a): pricing, product line, market segmentation. (b): time variability, ceteris paribus, data quality. *Stance:* useful directional guide, not point estimate.

12. Explain how externalities arising from transport contribute to market failure (10). Evaluate Singapore's policies (COE, ERP, public transport subsidy) (15).

(a): congestion, pollution externalities. (b): COE quota; ERP variable; MRT investment. *Stance:* mix is among world's most effective; equity concerns mitigate.

13. Explain why income inequality is a market limitation rather than a market failure (10). Discuss policies in Singapore to address inequality (15).

(a): distributive efficiency vs allocative. (b): Workfare, PWM, ComCare, CDC vouchers. *Stance:* Singapore prefers wage subsidies + targeted transfers over high marginal taxes.

14. Explain why governments may fail in their interventions (10). Discuss the implications for the Singapore policy approach (15).

(a): info failure, capture, incentive distortions, deadweight. (b): sunset clauses, evidence-based policy, COE auctions market-based design. *Stance:* acknowledged risk leads to market-based design.

15. Explain how a subsidy affects the market for vaccinations (10). Discuss whether subsidy is the most appropriate policy to raise vaccination rates (15).

(a): MSB shift; new equilibrium. (b): mandate, campaign, default opt-in. *Stance:* mix needed; subsidy alone insufficient given hesitancy.

Section B. Macroeconomics Plans (16–30)

16. Explain how the AD-AS framework can be used to analyse the effects of an oil price shock on Singapore (10). Discuss the most appropriate policy response (15).

(a): SRAS shifts left; stagflation. (b): MAS appreciation + targeted transfers + SSPs. *Stance:* MAS is the primary tool; FP redistributes; SSPs build long-run resilience.

17. Explain why MAS uses the exchange rate rather than the interest rate as its monetary policy instrument (10). Evaluate the effectiveness of this framework (15).

(a): impossible trinity; openness; import content. (b): 2022–23 tightening evidence; trade-off with growth. *Stance:* optimal for SG structure.

18. Explain the causes of inflation in Singapore (10). Evaluate the policies used by MAS and the Singapore government to address inflation (15).

(a): demand-pull, cost-push, imported. (b): MAS, FP, SSP. *Stance:* MAS leads; FP for equity; SSP for

long-run.

19. Explain why economic growth may be unsustainable (10). Discuss how Singapore can achieve sustainable economic growth (15).

(a): environmental, social externalities. (b): Green Plan 2030, carbon tax, EV adoption. *Stance:* requires policy mix + behavioural change.

20. Explain the link between economic growth and standard of living (10). Discuss whether GDP per capita is an adequate measure (15).

(a): income $\rightarrow$ consumption $\rightarrow$ SOL. (b): HDI, Gini, NEW, life expectancy. *Stance:* GDP per capita necessary but insufficient.

21. Explain the costs of unemployment (10). Discuss the policies used to address structural unemployment in Singapore (15).

(a): individual, firm, government, economy. (b): SkillsFuture, CCPs, WSS. *Stance:* long-term emphasis on retraining + sectoral matching.

22. Explain how a depreciation affects the Singapore economy (10). Evaluate the use of exchange rate easing in a recession (15).

(a): $(X - M) \uparrow$ but imported inflation. (b): Marshall-Lerner; J-curve. *Stance:* appropriate in deflationary recession; risk in supply-shock recession.

23. Explain how fiscal policy works in Singapore (10). Discuss the constraints on fiscal policy in Singapore (15).

(a): G, T , transfers; constitutional balance. (b): small k ; reserves protection; political feasibility. *Stance:* reserves draw available for crises; otherwise structural balance constraint binding.

24. Explain the benefits of free trade (10). Discuss the case for protectionism in advanced economies (15).

(a): comparative advantage; static + dynamic gains. (b): infant industry, security, employment. *Stance:* on net free trade dominates; targeted assistance better than tariffs.

25. Explain how globalisation affects the labour market (10). Discuss whether Singapore should restrict immigration (15).

(a): factor flows; skill premium. (b): COMPASS points; sectoral caps; productivity push. *Stance:* selective via COMPASS, not blanket restriction.

26. Explain the causes and consequences of a persistent current account deficit (10). Discuss the policies to correct it (15).

(a): domestic income, currency, competitiveness. (b): expenditure-reducing, expenditure-switching, supply-side. *Stance:* supply-side dominates in long-run.

27. Explain the trade-off between low inflation and low unemployment (10). Discuss whether this trade-off is relevant in Singapore today (15).

(a): short-run Phillips curve. (b): Singapore's exchange-rate framework; supply-side fixes long-run. *Stance:* trade-off compressed via SSPs; short-run trade-offs remain.

28. Explain the four macro objectives (10). Discuss the conflicts among these objectives in the Singapore context (15).

(a): sustained growth, low inflation, low unemployment, BOT. (b): growth vs inflation; growth vs equity.

Stance: policy mix manages conflicts via instrument assignment.

29. Explain how supply-side policies affect the economy in the long-run (10). Evaluate the supply-side strategy of the Singapore government (15).

(a): LRAS shift; PPC expansion. (b): SkillsFuture, RIE 2025, EDB. *Stance:* essential for sustained growth; depends on take-up and complementarity.

30. Explain how the Singapore economy is affected by external shocks (10). Discuss strategies to enhance economic resilience (15).

(a): small open economy; trade-to-GDP; transmission via $(X - M)$. (b): diversification, reserves, MAS framework, supply-side. *Stance:* multi-pronged resilience strategy; reserves are key fiscal buffer.